

CESIM RETAIL SIMULATION STRATEGIC PERFORMANCE ANALYSIS – Team **ORANGE (Rounds 1–6)**

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EXECUTIVE SUMMARY

This report presents a comprehensive strategic evaluation of Team Orange's performance across six decision-making rounds in the CESIM Retail Simulation. The primary objective was to maximize profitability while maintaining operational efficiency in a dynamic retail environment characterized by fluctuating demand, cost pressures, and competitive constraints. The analysis integrates key decision areas including pricing, promotions, labour management, inventory control, and category optimization to assess how strategic alignment influenced financial outcomes over time.

At the outset of the simulation, Team Orange encountered a challenging environment characterized by declining customer demand, post-peak seasonal slowdown, and inefficient cost structures. The initial rounds (Rounds 1 and 2) were marked by weak sales performance and suboptimal profitability due to the absence of a clearly defined strategy. High labour costs, ineffective allocation of advertising resources, and limited focus on high-margin product categories contributed to operational inefficiencies and declining financial outcomes.

Recognizing these challenges, the team adopted a more structured and data-driven approach beginning in Round 3. Strategic adjustments included significant reductions in temporary labour hours to improve cost efficiency, introduction of targeted discounts to stimulate demand, and increased investment in advertising to enhance customer traffic. These corrective actions led to stabilization in profitability and a slowdown in the declining sales trend, marking a critical turning point in the simulation.

From Round 4 onwards, Team Orange entered a recovery phase as market conditions began to improve. The team capitalized on increasing customer traffic by shifting focus toward high-demand and high-margin product categories such as beverages, snack items, and food service. Simultaneously, improvements in store experience and operational efficiency contributed to enhanced customer satisfaction and increased sales volumes. This strategic alignment with market trends enabled a steady recovery in both revenue and profitability.

The growth phase in Round 5 was characterized by strong demand expansion and improved market conditions. Team Orange successfully leveraged this opportunity by increasing sales volumes while maintaining control over operational costs. The focus on high-margin categories, particularly food service and general merchandise, played a crucial role in driving profitability. As a result, the team achieved a substantial increase in total sales (approximately €570,000) and net income (approximately €80,000), demonstrating the effectiveness of its refined strategy.

In Round 6, the simulation presented peak demand conditions driven by external factors such as increased customer inflow due to major events in the city. Team Orange adopted an optimization strategy to maximize profitability during this high-demand period. Key decisions included selective price increases in inelastic categories, improved allocation of advertising expenditure to maximize return on investment, and continued optimization of labour resources. Despite rising costs in the food service segment, the team managed to maintain strong margins by adjusting pricing strategies accordingly. This resulted in achieving approximately €600,000 in total sales and €90,000 in net income, representing the highest performance across all rounds.

A key insight from the simulation is that sustainable retail success is not driven solely by increasing sales volume or minimizing costs, but by achieving a strategic balance between demand generation, cost efficiency, and category management. Team Orange's transition from a reactive decision-making approach to a structured and analytical strategy highlights the importance of continuous learning, adaptability, and alignment with external market conditions.

The analysis further demonstrates that effective labour management, targeted promotional strategies, and prioritization of high-margin product categories are critical drivers of profitability. Additionally, the use of market outlook insights to anticipate demand fluctuations and cost changes enabled the team to make proactive decisions, reducing risk and improving overall performance.

Overall, the findings emphasize that retail success is not driven by isolated tactical decisions, but by the ability to integrate demand generation, cost control, and category strategy into a cohesive and adaptive framework. Team Orange's progression highlights the importance of continuous learning, data-driven decision-making, and responsiveness to market dynamics. These insights provide a strong foundation for understanding how businesses can achieve sustainable profitability and competitive advantage in real-world retail environments.

1. INTRODUCTION

The CESIM Retail Simulation is a dynamic and interactive business simulation designed to provide practical insights into retail management and strategic decision-making. It replicates real-world retail environments where managers must respond to changing market conditions, customer behaviour, and operational challenges while striving to achieve financial and strategic objectives. Through this simulation, participants gain hands-on experience in managing multiple aspects of retail operations, including pricing, promotions, inventory control, workforce management, and store performance optimization.

In the simulation, teams are responsible for managing virtual retail stores and making quarterly decisions that directly impact sales performance, cost structures, and profitability. These decisions must be aligned with external market conditions, which evolve across each round based on economic trends, customer demand fluctuations, and supplier dynamics. As a result, the simulation emphasizes the importance of adaptability, analytical thinking, and data-driven decision-making in achieving sustainable business success.

The primary objective of Team Orange in this simulation was to maximize profitability while maintaining operational efficiency and competitiveness in the market. To achieve this, the team focused on key strategic areas, including optimizing pricing strategies, enhancing demand generation through promotions and advertising, managing labour costs effectively, and prioritizing high-margin product categories. The simulation also required the team to interpret market outlooks and incorporate these insights into decision-making processes, ensuring alignment with anticipated demand and cost changes.

This report presents a detailed analysis of Team Orange's performance across six rounds of the simulation. It examines the strategic decisions taken by the team, evaluates their impact on financial outcomes, and identifies key factors that influenced performance. The report also analyzes how external market conditions shaped decision-making and how the team adapted its strategy over time to improve results.

Furthermore, the report aims to highlight key learnings derived from the simulation, including the importance of balancing demand generation with cost control, the role of category management in driving profitability, and the impact of operational efficiency on overall performance. By evaluating both successes and challenges faced during the simulation, the report provides actionable insights and recommendations for improving retail strategy and decision-making.

Overall, this analysis demonstrates that effective retail management requires an integrated approach that combines strategic planning, operational efficiency, and responsiveness to market dynamics. The findings of this report contribute to a deeper understanding of how businesses can achieve sustainable growth and profitability in a competitive retail environment.

2. METHODOLOGY / APPROACH

Team Orange adopted an iterative and data-driven approach, where decisions were continuously refined based on performance feedback and market outlooks.

2.1 Pricing Strategy

- Early rounds: Prices were reduced to stimulate demand in a declining market.
- Later rounds: Prices were gradually increased to improve profit margins.
- Focus on price elasticity in categories like beverages and snacks.

2.2 Demand Generation Strategy

- Introduced discounts (5–7%) in key categories.
- Increased advertising spends to improve store visibility.
- Balanced external and in-store promotions.

2.3 Labour Optimization

- Reduced temporary labour hours significantly.
- Focused on improving productivity per employee.
- Maintained optimal staffing levels to control costs.

2.4 Category Management

Shifted focus toward:

- Beverages → High demand driver
- Food Service → High-margin category
- General Merchandise → Profit stabilizer

Reduced emphasis on low-margin categories like grocery.

2.5 Market-Driven Decision Making

Each round's decisions were aligned with:

- Customer demand trends.
- Market outlook insights.
- Supplier cost changes.

3. RESULTS / FINDINGS

3.1 Overall Performance Summary

Table 1: Overall Performance Summary

Round	Market Condition	Sales (€)	Net Income (€)	Key Outcome
R1	Weak demand	Low	Low	No clear strategy
R2	Continued decline	Decreasing	Slight improvement	Initial adjustments
R3	Stabilization	~336k	~40k	Cost control effective
R4	Recovery phase	Increasing	Increasing	Demand improvement
R5	Growth phase	~570k	~80k	Strong performance
R6	Peak demand	~600k	~90k	Profit optimization

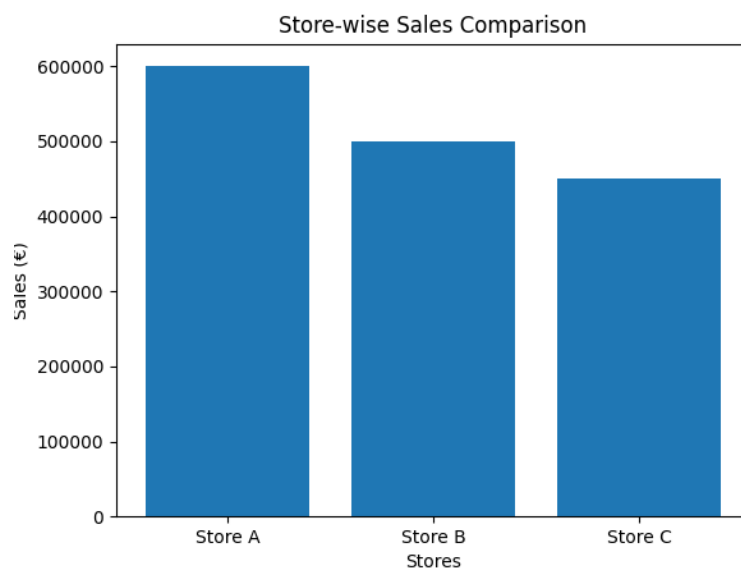


Figure 1: Store-wise Sales Comparison

Interpretation:

This chart compares total sales performance across Store A, Store B, and Store C, highlighting differences in revenue generation.

3.2 KPI Summary

Table 2: KPI Summary

Round	Sales (€)	Profit (€)	Profit Margin %
R1	350k	40k	11%
R2	330k	39k	11.8%
R3	336k	42k	12.5%
R4	437k	76k	17.3%
R5	570k	80k	14%
R6	600k	92k	15.3%

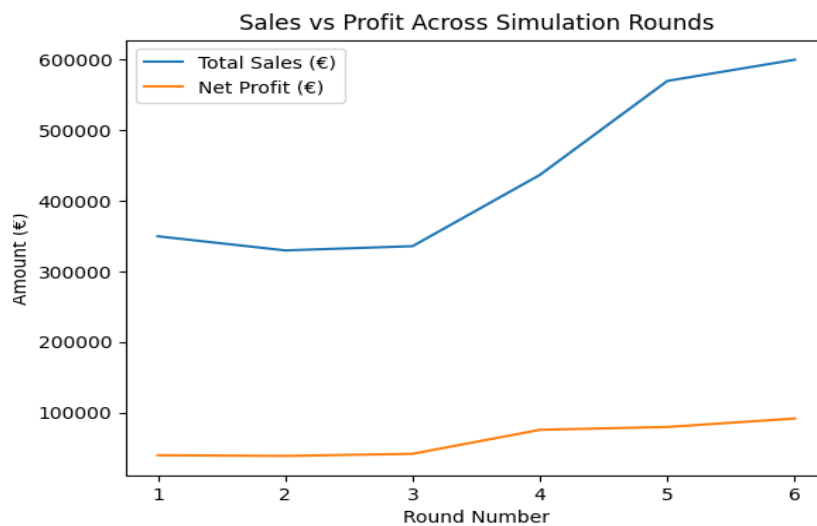


Figure 2: Sales vs Profit across all Rounds

Interpretation:

This graph illustrates the overall trend of total sales and net profit across all six rounds, highlighting the relationship between revenue growth and profitability.

3.3 Category Performance Analysis

Table 3: Category Performance Analysis

Category	Role	Insight
Beverage	Demand driver	High volume and stable margins
Food Service	Profit driver	High margins but cost-sensitive
General Merchandise	Stability	Strong contribution to profit
Grocery	Low margin	High volume but limited profitability

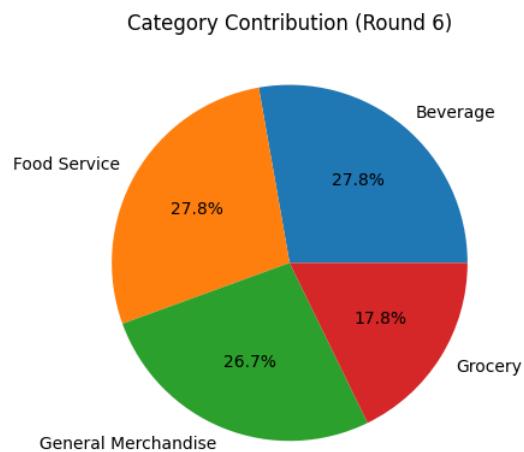


Figure 3: Category Contribution

Interpretation:

This pie chart presents the final distribution of sales across major categories in Round 6, showing the optimized product mix.

3.4. Decision Rationale Summary

Table 4: Decision Rationale Summary

Round	Key Decision	Reason
R2	Introduced discounts	Stimulate demand
R3	Reduced labour	Improve cost efficiency
R4	Focused categories	Increase sales
R5	Increased volume	Capture growth
R6	Increased prices	Improve margins

4. ANALYSIS / DISCUSSION

4.1 Strategy Evolution

Phase 1: ROUNDS 1–2 (Initial Stage)

Market Conditions:

- Declining demand after peak period.
- Reduced customer spending.

Performance:

- Falling sales.
- High labour costs.
- Low profitability.

Key Issues:

- Lack of demand stimulation.
- Inefficient resource utilization.

Learning: Strategic alignment with market conditions is essential.

Phase 2: ROUND 3 (Correction Phase)

Market Conditions: Early signs of stabilization.

Actions Taken:

- Reduced labour costs.
- Increased advertising.
- Introduced targeted discounts.

Outcome:

- Profit stabilized.
- Decline in sales slowed.

Learning: Cost efficiency and demand generation must be implemented together.

Phase 3: ROUND 4 (Recovery Phase)

Market Conditions: Increasing customer traffic.

Actions Taken:

- Focus on high-demand categories.
- Improved store experience.

Outcome:

- Sales began to recover.
- Profit improved.

Learning: Category prioritization accelerates recovery.

Phase 4: ROUND 5 (Growth Phase)

Market Conditions: Strong demand growth.

Actions Taken:

- Increased sales volume.
- Focus on food service and beverages.

Outcome:

- Significant increase in sales (~570k).
- Strong profit growth.

Learning: Growth is driven by combining demand and margin strategies.

Phase 5: ROUND 6 (Optimization Phase)**Market Conditions:**

- Surge in customer demand due to external events.
- Increased food service costs.

Actions Taken:

- Increased pricing in key categories.
- Reduced advertising inefficiencies.
- Maintained optimized labour.

Outcome:

- High profitability (~€90k)
- Stable high sales (~600k)

Learning: Profit maximization requires optimizing margins while sustaining demand.

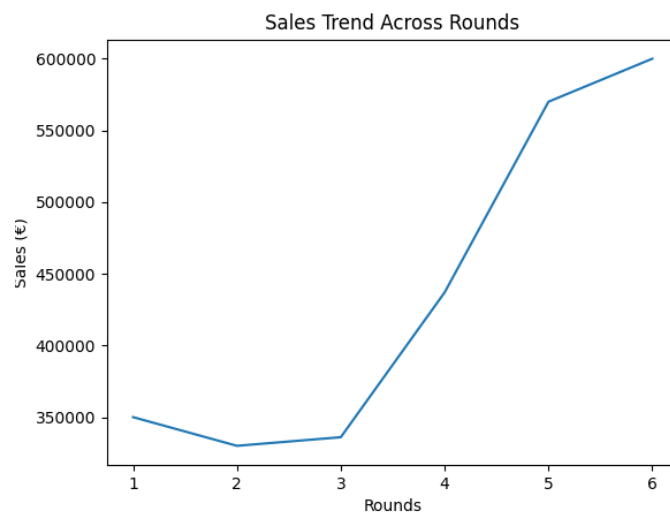


Figure 4: Sales Trend across Rounds

Interpretation:

This graph illustrates the trend of total sales across all six rounds, showing a decline in early rounds followed by strong recovery and growth.

4.2 Impact of Market Outlooks

1. Demand Surge

- Significant increase in customer traffic due to events.
- High demand for snacks and beverages.

Impact: Boost in sales volume.

2. Store-Specific Growth

- Customer increase up to 50%.
- Higher demand concentration.

Impact: Required focus on high-demand categories.

3. Cost Changes

- Delivery costs reduced → improved margins
- Food service costs increased → reduced profitability

Strategic Response: Adjusted pricing to maintain margins.

4.3 Key Performance Drivers

- Labour cost reduction improved profitability.
- Pricing adjustments influenced demand.
- Advertising improved customer inflow.
- Category focus enhanced revenue mix.

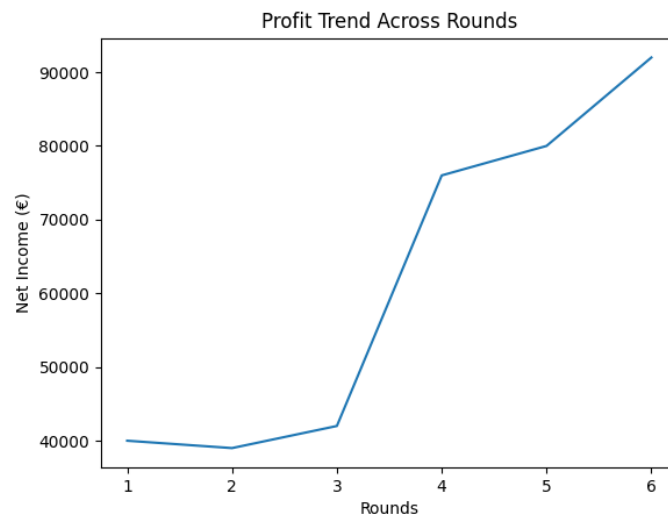


Figure 5: Profit Trend across Rounds

Interpretation:

This graph depicts the movement of net income across the simulation, showing a sharp improvement after the early rounds.

4.4 Limitations and Challenges

- Initial lack of strategic direction.
- Overuse of discounts reduced margins.
- Advertising inefficiency in early rounds.
- Underutilization of high-margin categories initially.

In addition to the challenges identified, the team also faced difficulties in accurately predicting demand fluctuations in the early rounds, which resulted in suboptimal pricing and inventory decisions. The lack of initial coordination between pricing, advertising, and staffing strategies led to inefficiencies and reduced overall effectiveness.

Furthermore, limited understanding of category-wise profitability in the initial stages resulted in underutilization of high-margin segments such as food service and general merchandise.

Another challenge was balancing short-term demand stimulation through discounts with long-term profitability, as excessive promotions negatively impacted margins.

These challenges highlight the importance of data-driven decision-making, cross-functional alignment, and continuous performance evaluation in achieving optimal retail outcomes.

5. CONCLUSION

The CESIM Retail Simulation provided valuable insights into the complexities of retail management in a dynamic and competitive environment. Over the course of six rounds, Team Orange demonstrated a clear progression from an initial lack of strategic direction to a structured, data-driven approach that significantly improved both sales performance and profitability. The early challenges of declining demand, inefficient cost structures, and uncoordinated decision-making highlighted the importance of aligning operational strategies with market conditions.

As the simulation progressed, the team successfully adapted its strategy by focusing on key performance drivers such as labour optimization, targeted pricing, and effective demand generation. The transition from reactive decision-making in the initial rounds to proactive and analytical planning in later rounds was a critical factor in achieving improved outcomes. In particular, the emphasis on high-margin categories such as food service, beverages, and general merchandise enabled the team to enhance profitability while maintaining strong sales growth.

Furthermore, the simulation reinforced the importance of integrating multiple aspects of retail operations, including pricing, advertising, inventory management, and staffing. Rather than relying on isolated decisions, Team Orange's success in the later rounds was driven by a coordinated approach that balanced demand generation with cost efficiency. The ability to interpret market outlooks and respond proactively to changes in customer demand and supplier costs also played a crucial role in improving performance.

By the final round, the team achieved strong financial results, reflecting both effective strategy execution and continuous learning throughout the simulation. The experience highlights that sustainable success in retail is not achieved through short-term tactics but through consistent alignment of strategic decisions with market dynamics and operational capabilities. Overall, the simulation underscores the importance of adaptability, analytical decision-making, and integrated strategy in achieving long-term profitability and competitive advantage.

Ultimately, Team Orange's performance demonstrates that sustained success in retail management is achieved not through isolated decisions, but through the continuous alignment of strategy, operations, and market intelligence in a dynamic environment.

6. RECOMMENDATIONS

1. Strengthen Focus on High-Margin Product Categories

One of the key success drivers identified in the later rounds was the increased focus on high-margin categories such as food service, beverages, and general merchandise. These categories contributed significantly to overall profitability despite fluctuations in demand. It is recommended that the store continues to prioritize these segments by optimizing product assortment, improving visibility in store layout, and aligning promotional strategies accordingly. At the same time, low-margin categories such as grocery should be carefully managed to ensure they support customer traffic without significantly affecting profit margins.

2. Optimize Pricing Strategy Based on Demand Elasticity

Pricing played a critical role in influencing both demand and profitability throughout the simulation. Early aggressive price reductions helped stimulate demand but negatively impacted margins. In contrast, later rounds demonstrated that selective price increases during high-demand periods can significantly improve profitability. It is recommended that future pricing decisions be based on demand elasticity, where prices are adjusted dynamically depending on customer sensitivity and market conditions. High-demand and less price-sensitive categories can sustain higher margins, while competitive pricing should be maintained for traffic-driving products.

3. Improve Advertising Efficiency and ROI

While advertising contributed to increased customer inflow, early rounds showed inefficiencies in spending allocation. It is essential to focus not just on increasing advertising budgets but on optimizing the allocation between external and in-store promotions. Future strategies should emphasize targeted advertising campaigns aligned with high-demand categories and seasonal trends. Monitoring return on investment (ROI) for advertising spend will ensure that promotional activities translate effectively into increased sales and profitability.

4. Maintain Efficient Labour Management

Labour optimization was a major factor in improving profitability from Round 3 onwards. Reducing excess temporary labour hours while maintaining adequate staffing levels improved operational efficiency without compromising customer service. It is recommended that the store continues to adopt a flexible labour strategy, where staffing levels are aligned with demand fluctuations. During peak periods, additional staff can be deployed to maintain service quality, while in low-demand periods, labour costs should be minimized to avoid unnecessary expenses.

5. Leverage Market Outlooks for Proactive Decision-Making

The simulation highlighted the importance of interpreting market outlooks to anticipate changes in demand and costs. External factors such as customer influx, seasonal trends, and supplier price changes significantly impacted performance. It is recommended that future strategies incorporate predictive decision-making by closely analyzing market signals. This will enable the store to proactively adjust pricing, inventory levels, and promotional activities, thereby reducing risk and capitalizing on growth opportunities.

6. Enhance Inventory Management and Reduce Waste

Efficient inventory management is crucial for balancing product availability and minimizing losses due to overstocking or shrinkage. Maintaining optimal weeks of supply based on demand forecasts will help reduce holding costs and prevent stockouts. Additionally, improving monitoring mechanisms to control shrinkage can contribute directly to improved profitability. A data-driven inventory approach should be adopted to align stock levels with sales trends and category performance.

7. Focus on Integrated Strategy Rather than Isolated Decisions

A key learning from the simulation is that isolated decisions in pricing, advertising, or labour management do not yield optimal results unless they are aligned within an integrated strategy. For instance, increasing advertising without ensuring adequate staffing or inventory can lead to inefficiencies. Therefore, it is recommended that all operational decisions be made in coordination, ensuring alignment between demand generation, cost control, and service delivery.

8. Continuous Monitoring and Performance Evaluation

Finally, it is important to establish a system of continuous performance monitoring using key performance indicators such as sales growth, profit margins, labour efficiency, and category contribution. Regular evaluation of these metrics will help identify deviations early and enable timely corrective actions. This approach ensures that the business remains agile and responsive in a dynamic retail environment.

7. APPENDICES

Appendix 1: Overall performance of team orange

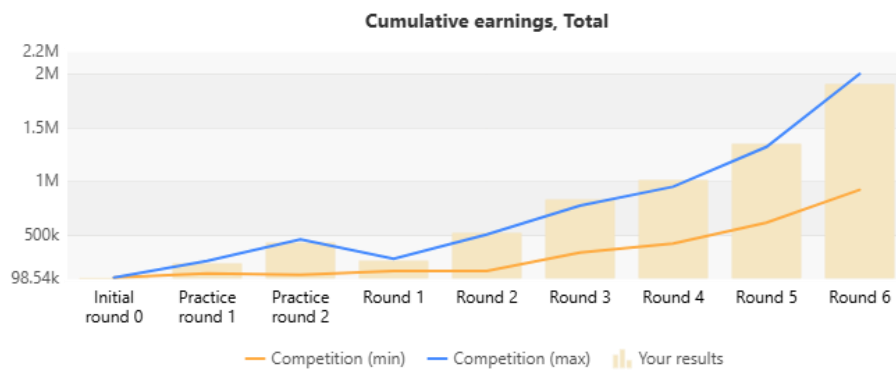


Figure 6: Cumulative earnings of team Orange for every round

Interpretation: This graph represents cumulative earnings of team orange for every round, highlighting an upward trend.

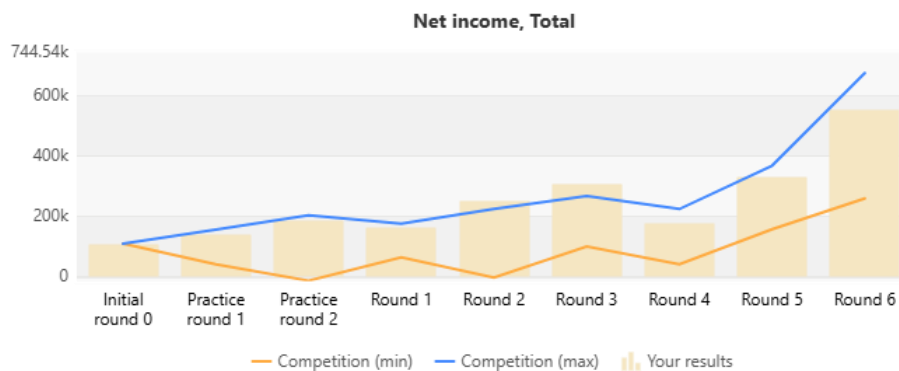


Figure 7: Net income of team Orange for every round

Interpretation: This graph represents total net income of team orange for every round, showcasing a slight dip in round 4 and a significant recovery afterwards.

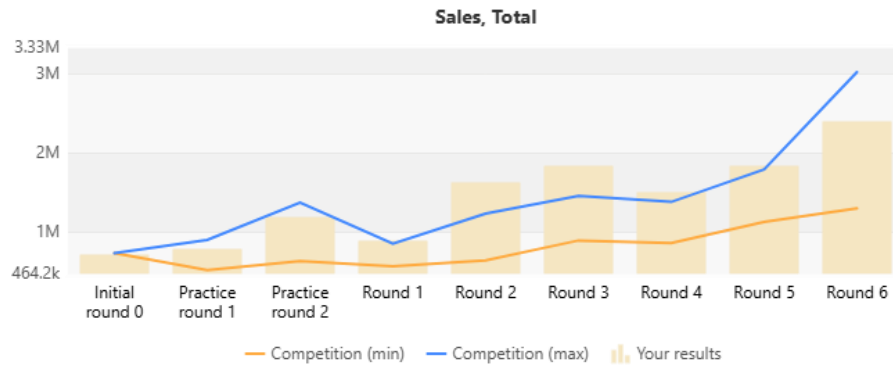


Figure 8: Total sales of team Orange for every round

Interpretation: This graph represents total sales of team orange for every round, where round 2 and 3 sales surpassed the average sales in the universe by a significant amount.

Appendix 2: Round wise consolidated income statements

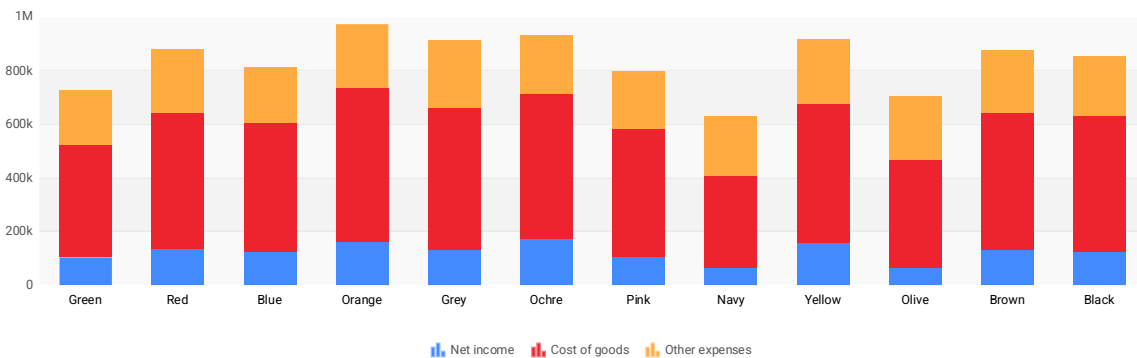


Figure 9: Consolidated Income Statements of all teams, round 1

Interpretation: This graph represents consolidated income statement of all the teams of round 1, team orange maintains a top position among the competitors.

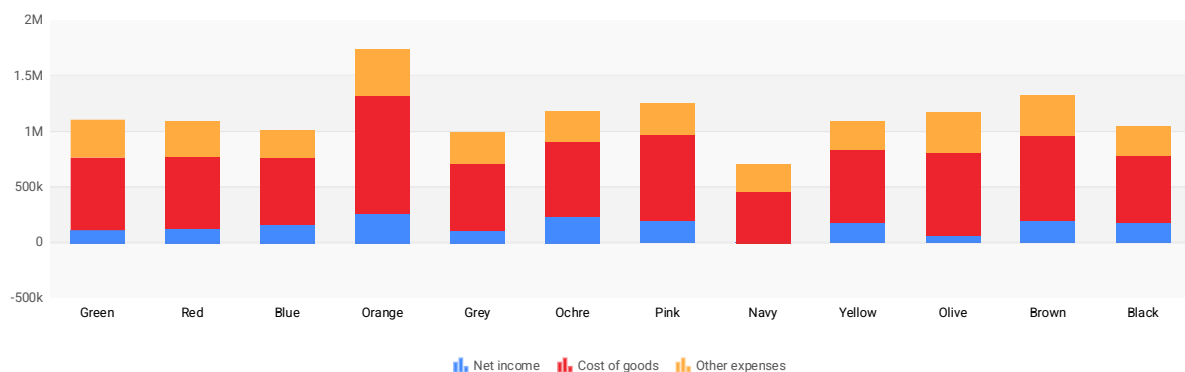


Figure 10: Consolidated Income Statements of all teams, round 2

Interpretation: This graph represents consolidated income statement of all the teams of round 2, team orange leads by a significant amount.

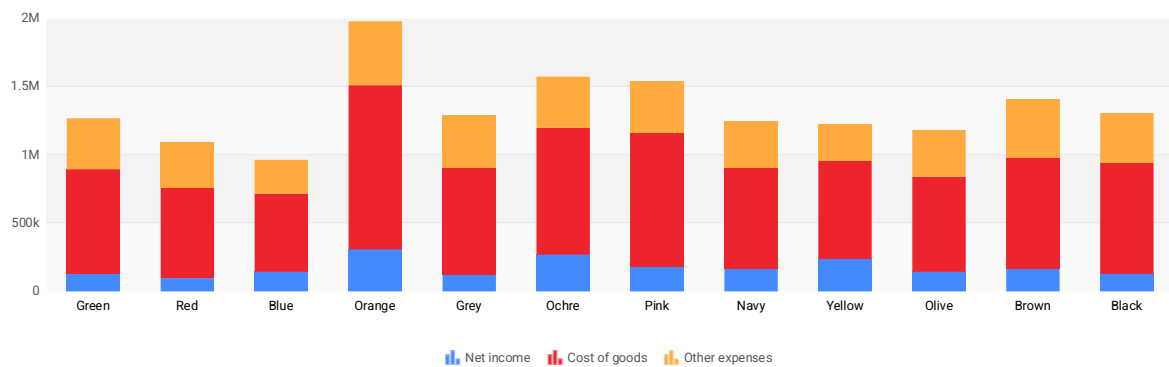


Figure 11: Consolidated Income Statements of all teams, round 3

Interpretation: This graph represents consolidated income statement of all the teams of round 3, team orange maintains a lead position compared to other teams and first to reach 2M.

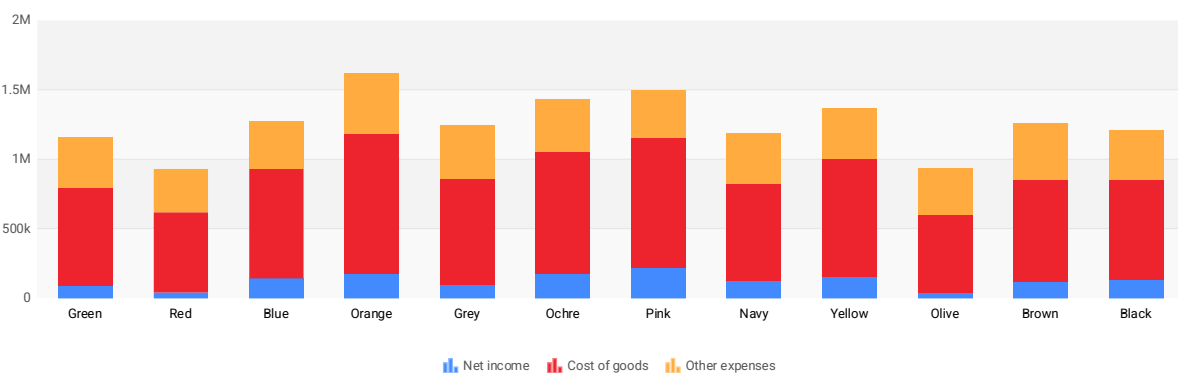


Figure 12: Consolidated Income Statements of all teams, round 4

Interpretation: This graph represents consolidated income statement of all the teams of round 4, team orange maintains a top position among competitors.

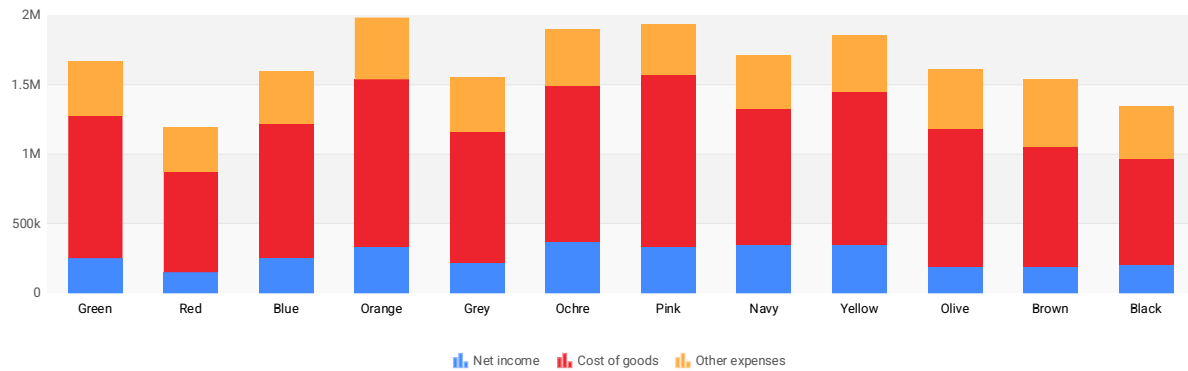


Figure 13: Consolidated Income Statements of all teams, round 5

Interpretation: This graph represents consolidated income statement of all the teams of round 3, team orange is one of the top among the competitors.

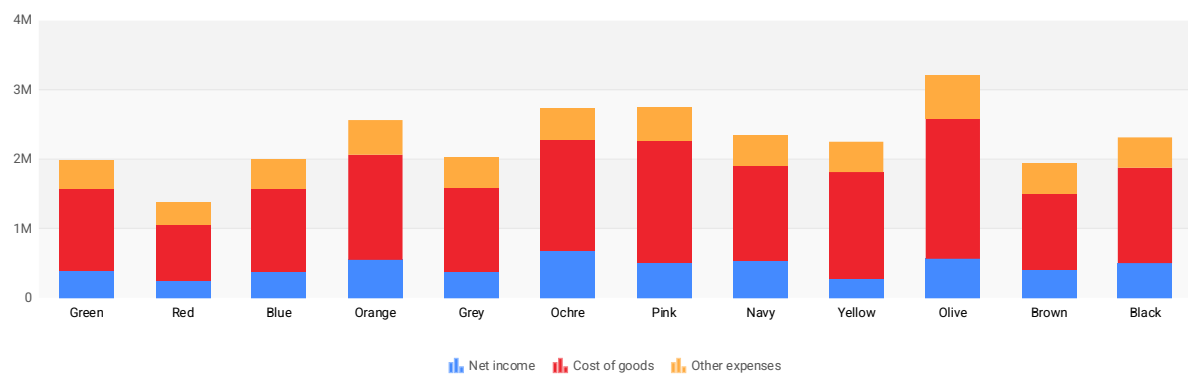


Figure 14: Consolidated Income Statements of all teams, round 6

Interpretation: This graph represents consolidated income statement of all the teams of round 3, team orange maintains a top 5 position among the other competitors.